Sector Report: Materials

Constituent Count: 9 Companies | Total Market Cap: INR 11,279,420 Cr | Nifty 100 Benchmark Coverage

AVG ROE	AVG OPM	MEDIAN D/E	MEDIAN P/E
16.1%	19.5%	0.13x	55.6x
Universe: 30.6%	Universe: 27.2%	Universe: 0.43x	Universe: 46.2x

Sector vs Full Universe Benchmarking

Metric	Sector Avg / Median	Universe Benchmark	Delta (Sector - Univ)	Positioning
Return on Equity (ROE)	16.1%	30.6%	**-14.6%**	**Unfavorable / Headwind**
Operating Profit Margin (OPM)	19.5%	27.2%	**-7.8%**	**Unfavorable / Headwind**
Median Debt-to-Equity (D/E)	0.1x	0.4x	**-0.3x**	**Favorable (Outperforming)**
Median Price-to-Earnings (P/E)	55.6x	46.2x	**+9.4x**	**Unfavorable / Headwind**
Revenue CAGR (3-Year)	17.9%	20.6%	**-2.7%**	**Unfavorable / Headwind**

Top Constituent Companies by Composite Health Score

Rank	Company Name	Ticker	Composite Score	Valuation Flag	Market Cap (Cr)
#1	**Coal India Ltd**	COALINDIA	**67.1**	Discount (Undervalued)	INR 454,025
#2	**Pidilite Industries Ltd**	PIDILITIND	**56.5**	Discount (Undervalued)	INR 162,274
#3	**Asian Paints Indian Multi-National Paint and Coating Manufacturing Company**	ASIANPAINT	**56.5**	Fair Value	INR 2,126,725

Materials: Full Constituent Rankings

Ranked by Composite Financial Health Score (0-100). Color coding: Top third = Soft Green, Bottom third = Soft Red.

Rank	Company Name	ROE (%)	ROCE (%)	OPM (%)	D/E	Rev CAGR 3Y	Composite Score	Valuation Flag
#1	**Coal India Ltd (COALINDIA)**	45.2%	46.2%	33.7%	0.08	16.5%	**67.1**	Discount (Undervalued)
#2	**Pidilite Industries Ltd (PIDILITIND)**	20.8%	26.9%	21.9%	0.05	19.3%	**56.5**	Discount (Undervalued)
#3	**Asian Paints Indian Multi-National Paint and Coating Manufacturing Company (ASIANPAINT)**	29.7%	31.8%	21.4%	0.13	17.8%	**56.5**	Fair Value
#4	**Hindalco Industries Ltd (HINDALCO)**	9.6%	10.1%	11.1%	0.53	17.8%	**50.3**	Fair Value
#5	**Shree Cement Ltd (SHREECEM)**	8.4%	11.7%	22.0%	0.08	14.8%	**44.8**	Discount (Undervalued)
#6	**JSW Steel Ltd (JSWSTEEL)**	11.6%	12.1%	16.1%	1.13	29.9%	**39.2**	Fair Value
#7	**Tata Steel Ltd (TATASTEEL)**	-5.3%	6.9%	9.7%	0.95	13.6%	**37.0**	Fair Value
#8	**Ambuja Cements Ltd (AMBUJACEM)**	11.4%	11.3%	19.3%	0.02	N/A	**36.9**	Fair Value
#9	**Jindal Steel & Power Ltd (JINDALSTEL)**	13.4%	12.1%	20.3%	0.37	13.3%	**30.2**	Fair Value

Materials: Key Findings & Peer Analysis

Institutional Peer Percentiles, Competitive Tiering & Sector Fundamentals Synthesis

EXECUTIVE SECTOR INSIGHT

"The Materials sector operates with disciplined balance sheet leverage (median D/E of 0.13), though cyclical margins average 19.5% with median valuation at 55.6x P/E."

1. Best in Class Companies (Peer Percentile Classification = 'Best in Class')

Company Name	Ticker	Best-in-Class Metrics Count	Competitive Status
Hindalco Industries Ltd	HINDALCO	**8 Metrics**	**Superior Leadership**
Jindal Steel & Power Ltd	JINDALSTEL	**7 Metrics**	**Peer Benchmark Outperformer**
JSW Steel Ltd	JSWSTEEL	**3 Metrics**	**Peer Benchmark Outperformer**
Tata Steel Ltd	TATASTEEL	**2 Metrics**	**Peer Benchmark Outperformer**

2. Watch List Companies (Peer Percentile Classification = 'Watch List')

Company Name	Ticker	Watch-List Metrics Count	Risk Profile
Tata Steel Ltd	TATASTEEL	**9 Metrics**	**High Scrutiny Alert**
Jindal Steel & Power Ltd	JINDALSTEL	**6 Metrics**	**Elevated Benchmark Lag**
JSW Steel Ltd	JSWSTEEL	**4 Metrics**	**Elevated Benchmark Lag**
Hindalco Industries Ltd	HINDALCO	**1 Metrics**	**Elevated Benchmark Lag**